

part of the Samuel Insull empire, which failed in 1932. Insull, no mere financial manipulator but a utilities builder par excellence, ran aground on the rocks of leverage. He borrowed heavily in 1930, which, of course, was the wrong time to do almost anything except turn over and go back to bed. Anyway, D&P's foray into the junk bond market constitutes yet another vivid reminder that the ghost of the Great Depression had been laid to rest.

If you lived in the stifling credit environment of the 1930s or 1940s, you may be moved to cheer, "High time." No doubt, bankers in that inhibited era were as unreasonably fearful as the current crop is unreasonably bold. But even so, you must wonder if a good thing hasn't been pushed too far.

It is impossible to date the beginning of the change in lending attitudes, but sentiment has radically turned. In 1989 borrowers may browse through 40-year mortgage loans, 6-year car loans and zero coupon junk bond loans. What is so revealing of the crowd psychology of lenders is that some of today's risky corporate-finance techniques may have made sense a decade ago, when they just weren't done. At the time, common stocks were cheap and real rates of interest were low or negative, but leveraged buyouts were viewed with distrust. In the late 1970s—in retrospect, an ideal time to take a company private with borrowed money—the pioneers of the leveraged buyout movement were doing deals of \$350 million or less. In the late 1980s, a time of punitively high real rates and not-cheap stock prices, RJR Nabisco was acquired for \$25 billion.

Buried in a recent *Wall Street Journal* was an innocuous-sounding feature on one of the decade's trendiest banks. "Having taken an unprecedented role in Alfred Checchi's pending \$3.65 billion purchase of NWA Inc.," the story led off, "Bankers Trust New York Corp. has assumed a new high-risk profile in the lucrative merchant banking field. Its main unit, Bankers Trust Co., not only is arranging \$3.35 billion of senior debt for the bid but also acted as a financial adviser to Mr. Checchi. The bank's parent is taking an \$80